

SPAIN

2015

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1. Overview of the tax-benefit system

Unemployed persons are covered by two successive benefits: a contributory unemployment insurance benefit for 120-to-720 days depending on contributions, then an assistance benefit for 3-to-30 months. (The most common duration of unemployment assistance is 18 months, and for persons over 55 the duration is that necessary to arrive to the age in which he/she starts receiving the contributory retirement pension.) There is also a last resort scheme called the Renta Mínima de Inserción (Minimum Income for Insertion). Family benefits are income-related. The tax unit is the individual; nevertheless family units have the option of filing their tax returns on a joint basis. Finally, there is the programme named Programa de Renta Activa de Inserción (Insertion Active Income Programme), whose objective is to help long-term job seekers, older than 45, among other groups, to re-enter in the labour market. This programme lasts for 11 months.

1.1. Average Worker wage (AW)

The 2015 AW level is EUR 26 259.¹

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2015, part 4.

2. Unemployment insurance

Program name in local language		...
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		C: 360 days in 6 preceding years
Waiting period (days)		0
Maximum duration (months)		24
Uprating mechanism of the benefit		No automatic adjustment
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	70%
	benefit at the end of legal entitlement period in % of calculation base	50% from month 7 on
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	No, only part-time work in this case
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + minimum and maximum benefit more generous for families with children
	contract type	0
	other	0

2.1 Conditions for receipt

Unemployment benefit can be paid to a registered unemployed person aged 16-65, who is available and actively seeking work, and who did not leave his/her previous job voluntarily. Additionally, unemployed persons have to subscribe to a pledge of activity by virtue of which they commit themselves to search actively for a job and to accept a suitable job.

On all the levels of protection by unemployment either the unemployment insurance one or the unemployment assistance one and in their different categories, applicant and beneficiary workers of the benefit by unemployment are obliged to sign and comply with an a "commitment of activity", understanding by such a to look for a job actively, to accept a placement suitable and to take part in actions addressed to raise their employment, in accordance with Law 45/2002, of 12 December (Article Firstly Eleven). This condition must be gathering as a requirement to have the right to any of the benefits considered within the protection system by unemployment.

2.1.1 Employment conditions

None

2.1.2 Contribution conditions

A claimant must have contributed for a minimum of 360 days in the 6 years preceding the legal status of unemployment

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

It is 70 per cent of reference earnings for a maximum period of 180 days, then 50² per cent of reference earnings for the remaining period of the benefits (see section 2.4 for the duration of the benefit); reference earnings correspond to the average gross earnings over the last 180 days.

The benefit is limited by a maximum and a minimum that depend on the number of dependent children below age 26. Both are expressed as a percentage of the IPREM (public indicator of incomes of many effects) from 01/07/2004, with an increment of 1/6 (proportional to bonus payment). For 2015, IPREM is EUR 621.26 per month, that is EUR 7455.14 yearly³, including in both cases the proportional part of bonus payment.

Family type	In per cent of IPREM*	
	Minimum	Maximum
With no dependent children	80	175
	(497,00 €/month)	(1087,20 €/month)
With dependent children	107	
	664,74 €/month)	
One child		200
		1242,52€ /month)
Two or more children		225
		(1397,83 €/month)

* With an increment of 1/6 (proportional to bonus payment).

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

The maximum and minimum unemployment benefits are reduced in proportion to hours worked in relation to the company's normal full working day.

² Established by Law 20/2012 of 13th July for the right to the allowance from July 15th.

³ Established by Law 36/2014, of 26th December. In case of excluding the bonus payments the amounts are as follows: EUR-532.51 per month and EUR-6390.13 yearly.

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.3 Tax treatment of benefit and interaction with other benefits

Normally taxable. For a person on unemployment insurance, the total social security contributions amount to 100⁴ per cent of 4.7 per cent of reference earnings, subject to lower and upper ceilings (see section 10.3).

2.4 Benefit duration and waiting periods

The total duration increases with contribution record. There is no waiting period; the benefit is paid 30 days per month.

Time worker contributed within last 6 years (in days)	Duration of unemployment benefit (in days)
360-539	120
540-719	180
720-899	240
900-1079	300
1080-1259	360
1260-1439	420
1440-1619	480
1620-1799	540
1800-1979	600
1980-2159	660
2160+	720

When the benefit is expired, in some cases is possible to receive the unemployment assistance (see point 3).

2.5 Treatment of particular groups

2.5.1 Young persons

None

2.5.2 Older workers

None

2.5.3 Others if applicable, including disabled

As from 1st June 2002, casual agriculture workers pay the contribution to Social Security for covering the contingency for unemployment and they have the right to receive unemployment benefit. The duration of the allowances depends on the period of contributions having been paid during last six years, and it oscillates between a minimum of 120 days, when the period of contributions has been at least from 360 to

⁴ For legal unemployment situation produced from July 15th 2012. Law 20/2012.

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539 days, and a maximum of 720 days, when the period of contributions has been from 2160 days or more.
From 1st June 2002 the covering of the contingency for unemployment is "compulsory".

3. Unemployment assistance

Program name in local language		Prestaciones por desempleo de nivel asistencial
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		UI: exhausted unemployment insurance benefits and is above 45 or has family responsibility; or does not qualify for UI because too little contributions paid
Waiting period (days)		...
Maximum duration (months)		6 months, which may be extended for a further two periods of the same duration.
Upgrading mechanism of the benefit		Benefit based on Public Income Rate of Multiple Effects (Indicador Público de Renta de Efectos Múltiples, IPREM) established annually by law
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	Flat rate
	benefit at the end of legal entitlement period in % of calculation base	Flat rate
	Calculation base(1)	Social support index (Indexante dos Apoios Sociais (IAS), EUR 419.22 per month, 19% of AW)
	Permitted employment and disregards when receiving unemployment assistance benefit	No disregards, benefit fully withdrawn if earnings above 75% of interprofessional minimum wage (EUR 645.30 per month)
Benefit provision (eligibility (E), generosity (G)) varies with	age	E: + unlimited duration for over 55 year olds
	family situation	E: + 30 months maximum duration if run out of UI and with family; G: + if at least two dependents
	contract type	0
	other	0

3.1 Conditions for receipt

For those unemployed, who are registered as job seekers, without having refused an offer of a suitable job or having refused to participate, except by reason of a justified cause in actions of promotion, training or professional reconversion and without any income of any kind which exceeds, with respect to monthly computation, 75 per cent of the minimum inter-professional wage, excluding the proportional part of the extra payments, and are in one on the situations described under. It consists of monetary unemployment assistance and the Social Security contribution corresponding to health coverage, family protection, and when appropriate, retirement.

The time and contribution to Social Security depends on the type of subsidy the worker is entitled to. There are the following types:

- Workers who have exhausted their unemployment benefits and have family responsibilities.

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- Spanish emigrant workers who, having returned from countries not pertaining to the European Economic Area or with which no agreement exists regarding unemployment insurance, can prove having worked a minimum of 12 months in the last six years in said countries since their last departure from Spain, and are not entitled to unemployment benefits.
- Workers who, having the legal unemployment situation, did not meet the minimum contribution period to be eligible for contributory unemployment benefits. In this case the job loss is not voluntary.
- Those released from prison.
- Workers who, after a medical revision, are declared fully capable or partially disabled due to recuperation from a situation of great disability, or absolute or complete permanent disability for usual work.
- Unemployment subsidy for workers over 55⁵.

Family responsibilities will be understood to mean having to support a spouse and/or children under twenty-six years of age or those who are older and disabled, when the income of household, including that of the applicant, divided by the number of members which make up the household in question, does not exceed 75 per cent of the Minimum Inter-Professional Wage, excluding the proportional part of the extra payments. Apart from the applicant, there should be another member whose earnings were below 75 per cent of the Inter-Professional Wage, excluding the proportional part of the extra payments.

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

It is 80 per cent of the IPREM (public indicator of incomes of many effects) from 01/07/2004, excluding the proportional part of bonus payments. The IPREM in 2015 was EUR 532,51€ per month.

3.2.1.1 Irregular additional payments

None

3.2.1.2 Obligations of family members

In case that the family responsibilities are required, they should be in place at the moment of the cause giving rise to the situation of the worker and during the period of time of receiving the allowance.

⁵ Established by Law 20/2012 of 13th, from July 15th 2012.

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3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

It is means-tested. The condition to receive the benefit is that there are no individual earnings in the family over 75 per cent of the interprofessional minimum wage that was monthly EUR 648,60 in 2015. There are no disregards. The unemployment assistance is compatible with part-time work as an employee, if the worker chooses to keep receiving the allowance in a amount reduced in the same proportion as the number of daily working hours done (but always if the earnings do not overcome the 75 per cent of the interprofessional minimum wage).

3.3 *Tax treatment of benefit and interaction with other benefits*

Taxable. Not subject to social security contributions. Recipients for whom UA is the sole income source do not pay tax.

3.4 *Benefit duration and waiting periods*

There is a waiting period that consists in be registered as a job seeker during one month before the causing fact, except in the case of the workers who did not meet the minimum contribution period to be eligible for contributory unemployment benefits.

In general, the duration is six months, which may be extended for a further two periods of the same duration, up to a maximum of 18 months. In some cases, unemployment assistance duration can be extended to 24 or 30 months for claimants whose contributory unemployment benefit has run out and have family responsibilities.

For persons over 55, this benefit continues as long as is necessary, until the claimant either re-enters the workforce or reaches statutory retirement age, at which point he/she is eligible for the contributory retirement pension.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

None.

3.5.2 *Older workers*

Workers aged 55 or over, having exhausted their UI benefits, may be entitled to prolonged unemployment benefits at a flat rate of 80 per cent of the IPREM. This benefit lasts until they reach retirement age.

3.5.3 *Others if applicable, including disabled*

In the Autonomous Communities of Andalucía and Extremadura, due to high level of unemployment in the agriculture sector, casual agriculture workers who have worked 35 days, at least, in agriculture jobs during the 12 months previous to the unemployment situation can have the right to receive unemployment subsidies in some circumstances.

Income for casual agriculture workers. (*Renta Agraria*) :

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Casual agriculture workers living in the Autonomous Communities of Andalucía y Extremadura who are registered as unemployed, have worked 35 days, at least, in agriculture jobs during the 12 months previous to the unemployment situation, meet other requirements and have not the right to receive the *Subsidy of casual agriculture workers*, can have the right to receive the unemployed subsidy called “*Renta Agraria*”. The incorporations that happen for the first time are registered in the new system named “*Renta Agraria*”.

Programme of active income for job insertion (Renta Activa de Inserción):

The objective of this programme is to help long-term unemployed claimants over 45 who are in situations of need, to get back to work. In order to claim this benefit, unemployed claimants must have reached the age of 45, have exhausted their Unemployment Benefit or Unemployment Assistance, and not to have the right to Unemployment Benefit or to Unemployment Assistance, have been registered at the Employment Office for at least 12 months and not to have any income exceeding 75 per cent of the interprofessional minimum wage, excluding the proportional part of bonus payments. Also those who met the following requirements may be eligible: disabled workers affected to a degree of 33 per cent or more and met all the requirements as set up above with the exception of being over 45 years of age; emigrants who have returned to Spain in the 12 months prior to receipt of the application and have worked at least 6 months abroad and met all the requirements with the exception of having been registered during the last 12 or more months; workers who have been victims of domestic violence and met all the requirements with the exception of age and having been registered during the last 12 months. The allowance is the equivalent of 80 per cent of IPREM and the duration is for a maximum of 11 months.

4. Social assistance

There is a minimum income scheme called the *Ingreso Mínimo/Renta Mínima de Inserción* (Minimum Income for Insertion - MII) implemented in the 17 Autonomous Communities (regions). There is no specific national legislation defining it, but the general principle is to alleviate poverty by means of cash benefits for basic living needs. Each Autonomous Community has its specific law regulating the MII. In the year 2014 the basic amount for the holder of the MII is 420.63 €/per month and the budget spent: 1.167.033.741,89 €

The number of holders in the year 2014 was: 262.307; the number of dependent members: 350.211.

The MII consists of periodical subsidies, but with a specific duration (periodical renewal is required), provided that the requisites are maintained and fulfilled the compromise acquired in the corresponding agreement signed for his/her social and labour integration and following the measures of social on-going support established with every claimant.

The monetary amount is annually updated; as well as every year the funds are allocated in the budget through general laws of each Autonomous Community for financing the MII.

The region of Madrid is considered below as being representative:

The basic amount for the holder is 375.55 € per month and the budget spent: 99.100.000,00 € in the year 2014.

Program name in local language		...
Minimum age condition for social assistance receipt		26
Legal behavioural requirements	Registration as unemployed(2)	Yes
	Participation in integration measures	Yes
	Active job search(2)	No
	Work requirement(2)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		Regional
Uprating mechanism of the benefit		...
Other supplements to basic benefit (per family)		No
Means-test for social	Earnings disregards	No

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assistance	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment insurance and assistance benefits
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + below proportional for each family member
	over time	0
	other	0

4.1 Conditions for receipt

The claimant must be available and actively seeking work. The minimum age is 25 or less if the claimant has dependants (although it can be 18 in certain regions), and the maximum age is 64 (old-age pension from 65). Qualifying households must pass an income test.

The claimants, who participate in social and labour measures for integration and in the social on-going support measures which are established with each claimant, receive a monthly income supplement.

In the region of Madrid the claimant is older than 25 and younger than 65. He or she has to be registered in the municipality of the region during the previous year of the application, set up an independent nuclear family 6 months previously, and lack of sufficient economic resources to face the basic needs for living.

Qualifying households must pass an income test, and they cannot have incomes in 2015 over the following amounts:

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Number of members and limit amount of income in €	
1 person	375,55
2 people	488,22
3 people	563,33
4 people	638,44
5 people	713,55
6 people	788,66
7 people	863,77
8 people	938,88
9 people	1013,99
10 people	1089,1

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

In 2015 the scale of the MII, depending on the number of dependent members in the family, is the following

Number of people	Monthly amount in €	Supplement in €
1 st person	375,55	
2 nd person		112,67
3 rd person and following		75,11

In any case, the amount per month will be over 532.51 € (amount equivalent to the IPREM for 2015) for families with more than one dependent member.

4.2.1.1 *Irregular additional payments*

None

4.2.1.2 *Obligations of family members*

None

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

It is means-tested on a one-to-one basis, using gross family income excluding family benefits. There are no disregards.

4.3 *Tax treatment of benefit and interaction with other benefits*

Taxable, but the tax system is structured such that a year-long recipient will pay no tax.

4.4 *Benefit duration and waiting periods*

It lasts as long as the conditions are fulfilled.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

None.

4.5.2 *Older workers*

None.

4.5.3 *Others if applicable, including disabled*

None.

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5. **Housing benefits for rented accommodation**

Some regions (including Madrid) apply housing benefit schemes. A tax credit for housing expenses does exist (see section 10.1.1) at a national level.

Regular housing benefits	Program name in local language		No general housing benefit
	Entitlement depends on	Household type/size	n.a.
		Income	n.a.
		Dwelling size	n.a.
		Geographic location	n.a.
		Actual rental cost	n.a.
	Description of regular housing benefit		Some regions (including Madrid) feater housing benefit schemes. The tax code forsees a tax credit for housing expenses on a national level.
	Uprating mechanism of the benefit		...
Housing related support through other benefits		No	

5.1 **Conditions for receipt**

5.2 **Calculation of benefit amount**

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 **Tax treatment of benefit and interaction with other benefits**

5.4 **Treatment of particular groups**

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

6. Family benefits

A. Economic allowance for each child dependent from the beneficiary, aged under 18, or over that age if suffering an impairment of a degree equal to or higher than 65 percent, whatever the legal nature of the child's filiations, as well as fostered minors under family fosterage, be it permanent or pre-adoptive.

B. One-off lump-sum economic benefit for birth or adoption in the following cases: large families, lone-parent families (see point 9 "Lone-parent benefits") or disabled mothers.

C. One-off lump sum economic benefit for multiple birth or adoption.

Program name (local name in parentheses if available)			Family allowance (Prestaciones familiares)
Type of benefit			Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No
Upgrading mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	++
	Earnings disregard		Income threshold increases with number of children; maximum income for one child EUR 11576.83
	Withdrawal rate		Fully withdrawn if income above threshold
	Assets part of means test?		...

6.1 Conditions for receipt

A.-To have dependent children of less than 18 years of age or older disabled children affected to a degree equal to 65 per cent or more.

-For not disabled children: Not to receive yearly income over EUR 11.576,83 for the year 2015.

-For disabled children: No limit of economic resources.

B.-For children who has been born or adopted from November 16th 2007

-In case of disabled mothers, they have to be affected by a disability of 65 per cent or more.

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

-The same limits for the incomes than in benefit A, with the difference between large families and the rest of the families.

C-Children born in multiple births, if their number is equal to or higher than two, as well as adopted children if their number is equal to or higher than two, originate the entitlement to this benefit. The birth or legalization of the adoption has to take place in Spain, or, if abroad, it should be accredited that the born or adopted child is immediately going to be integrated in the family nucleus residing in Spain.

-In cases of multiple birth or adoption, if one of the children has a disability equal to or higher than 33 percent, it will be taken into account as two.

-There is no limit of incomes.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

A.-In 2015, the amount is the following, per dependent child, depending on the situation:

- Children under 18:
 - a) No disabled children: EUR 24,25 per month (EUR 291 per year).
 - b) Disabled to a degree of 33 per cent or more: EUR 83,33 per month (EUR 1000 per year).
- Children over 18:
 - a) Disabled to a degree of 65 per cent or more: EUR 367,90 per month (EUR 4.414,80 per year).
 - b) Disabled to a degree of 75 per cent or more and needing the help of another person: EUR 551,90 per month (EUR 6.622,80 per year).

The right to entitlement will be the total benefit in the case of disabled children, without having into account the level of family income.

In the case of children no disabled, the right to entitlement will be:

- The receipt of the total benefit, provided it does not exceed the upper limit laid down of – 11.576,83 Euros/year, increased by 15 per cent, namely 1.736,52 Euros/year, for each child after the second one. For large families, the limit will be 17.423,84 Euros when there are 3 dependent children, increasing by 2822.18 Euros for each dependent child after and including the fourth child.

The benefit will be reduced if the income is above that specified in the previous item but at the same time below the amount found adding to this figure the amount of the subsidy for the number of children who are not disabled (maximum limit).

The following table allows us to establish the limits for maximum integrated benefit and for maximum income depending on the number of dependent children.

Number of dependent children	Limit for maximum integrated benefit (EUR)	Maximum limit of income (EUR)
1	11.576,83	11.867,83
2	13.313,35	13.895,35
3*	17.423,84	18.296,84
4*	20.246,02	21.410,02

* From 3 dependent children and for large families.

In any case, in order to have the right, the difference between two items must be equal or superior to EUR 24,25 per child/year.

B. One off payment of EUR 1000.

C. An amount paid in one-off payment according to the number of children born:

-2 children, 4 times the monthly amount of the Minimum Inter-professional Wage, EUR 2.594,40 for the year 2015.

-3 children, 8 times the Minimum Inter-professional Wage, EUR 5.188,80 for the year 2015.

-4 children and more, 12 times the Minimum Inter-professional Wage, EUR 7.783,20 for the year 2015.

6.2.1.1 *Irregular additional payments*

None

6.2.2 *Income and earnings disregards*

A. The right to entitlement will be the total benefit in the case of disabled children, without having into account the level of family income.

B. This benefit doesn't take into account the incomes of the recipient.

6.3 ***Tax treatment of benefit and interaction with other benefits***

Not taxable

6.4 ***Treatment of particular groups***

None.

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

7. Childcare for pre-school children

Pre-primary education is conceived as a single education-oriented level with structural and curricular development similar to the rest of educational levels in Spain. It caters for children from 0 to 6 years and it is divided into two three-year stages. The second stage (children aged 3 to 6) is free of charge both in public and government dependent private schools.

In 2014/2015, the net enrolment rate in pre-primary education is 33,7 % (440.593 children) for the under 3 years and concerns 96,9 % (1.441.397 children) of children from 3 to 5 years (Source: Non-university education Statistics - Provisional data 2014-2015. Ministry of Education, Culture and Sport).

There is also care provision for children outside the education system. In 2014 the 44,3 % of under 3 years children received care provision in an institution outside of their household (Source: Community Statistics on Income and Living Conditions – National Institute of Statistics/Eurostat).

Compulsory schooling starts at age 6 in the first grade of primary education.

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

Pre-primary education in public and government dependent private schools for children from 3 to 5 years is free of charge.

There are a wide variety of situations throughout the different autonomous or local administrations regarding the expenditure, in centers that attend to children under 3 years of age, during the working day of their parents. Therefore it is difficult to estimate an average fee. Despite this, a relationship exists between the amount of fees paid by the families according to the level of income and/or the number and ages of children in care.

Almost all the Autonomous Communities have a specific allocation of public places that are subsidized and are, consequently, of lower cost for the families. The level of income of the family group is subject to the establishment of an appropriate fee. Furthermore, to determine the fees payable, a scale in function of various criterion is also established including if; a “family group” is based upon there being a lone-parent, there are siblings in the center, both parents work, etc.

It is difficult to generalize, but it could be considered that on average the parents paying for places in public centers pay 1/3 of the value for the place, and the remaining 2/3 is covered by civil services (local corporations, autonomous and/or central government).

In the private centers the family must pay the total cost.

Part-time childcare

7.2 Child-care benefits for formal centre-based care

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

For the mothers workers (and lone- parents) with children under 3 years, there are a general deduction in the tax on the income of individuals for an amount of EUR 1,200 per year. Some Autonomous Communities establish additional deductions for childcare fees of children under 3 years in centers.

7.2.4 *Treatment of particular groups, including disabled*

In Early Childhood, Education schooling of students with special education needs is based on the principles of standardization and inclusion, ensuring its non-discrimination and effective equality in access and permanence in the education system and being able to introduce more flexible measures when necessary.

The identification and assessment of students with special education needs corresponds to the Education authorities, and will be performed as early as possible, by personnel with adequate qualifications and in the established terms. At the end of each school year the student's progression will be assessed according to the proposed objectives. Such evaluation will provide proper guidance and could modify the plan of action as well as the mode of schooling, so that it can be encouraged, whenever possible, the access of students to a system of greater integration. The Education authorities have to promote the enrolment of these students in early childhood education (this education level is free, but not compulsory).

The educational intervention contemplates at this stage, as a principle, the diversity of students adapting educational practice to personal characteristics, needs, interests and cognitive style of children, given the importance at these ages of the pace and process maturation.

Schools implements appropriate measures to support pupils with special education needs, seeking the educational response that best suit their characteristics and personal needs.

7.3 **Child care allowance for children not using child care centers**

8. Employment-conditional benefits

8.1 *Conditions for receipt*

The 2012 labour market reform enacted by Royal Decree-Law 3/2012, of February 10, converted into Law 3/2012 of 6 July, set up a more rigorous and selective policy as regards incentives affecting social security contributions.

As a result, the system of incentives affecting social contributions focuses on young people up to 30 years and in low-skilled workers older than 45 years and with a prolonged unemployment stay. Alongside these two groups, the system maintains the previous incentives directed to people with disabilities, new self-employed, victims of gender violence, along with those that are intended to maintain the activity of workers over 59 years and to incentivize the activity of employment insertion firms, that is, firms specifically aimed at the insertion in the labour market of vulnerable groups. .

There are also incentives to the contract for training and apprenticeship with young people of 20 to 25 years old (exceptionally until 30 years old) without certificated qualifications.

Incentives take one of two different forms: “bonificaciones”, which are rebates in social contributions that are then compensated to the Social Security system by the general budget and “reducciones”, rebates that reduce Social Security income with no compensation by the general budget. Both are similar to the end recipient (usually firms).

The table below summarises the incentives affecting Social Security contributions updated to the latest changes, that entered into force in September 2015. This does not include very specific cases and specificities for each circumstance that sometimes are present in the detail of the incentives:

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		Employment related incentives affecting Social Security contributions: 2014/2015-						
		LAW 43/2006+LAW 3/2012- + ROYAL DECREE 20/2012+RDL 3/2014+ RDL 17/2014+ LAW 18/2014+ LAW 36/2014+ RDL 1/2015+ LAW 25/2015						
		GROUP	DESCRIPCIÓN	CUANTÍA ANUAL EUROS				DURACIÓN
CONTRATACIÓN INDEFINIDA	Emprendedores	-Empresas de menos de 50 trabajadores -Tiempo indefinido y jornada completa -Periodo de prueba un año	Jóvenes 16-30 varones	Jóvenes 16-30 mujeres	Mayores 45 PLD´s varones	Mayores 45 PLD´s mujeres menos representadas		
			1.000 1er año 1.100 2º año 1.200 3er año	1.100 1er año 1.200 2º año 1.300 3er año	1.300	1.500	3 años	
			DEDUCCIÓN FISCAL -1er contratado menor de 30 años 3.000€ -Desempleado con prestación: 50% prestación pendiente con límite de 12 mensualidades (posibilidad de sueldo + 25% de prestación por el trabajador)					
	Fijos discontinuos Transformación de temporales en indefinidos	En los sectores turismo, comercio vinculado hostelería.	50% cuota S.S.				Durante meses de trabajo de marzo a noviembre hasta 31/12/2013	
FORMATIVOS		Formación y aprendizaje		-Reducción cuota empresa 100% empresas < 250 trabajadores, 75% resto. -Reducción cuota trabajador 100% -Transformaciones indefinidos: 1.500€/año -Transformación indefinidos mujeres 1.800€			Durante toda la vigencia del contrato	
AUTÓNOMOS		Jóvenes que se establezcan como autónomos < 30 años (<35 años si mujer)		30% reducción de la base mínima de cotización (DA 35ª LGSS)			Al principio actividad durante 15 meses	
		Cónyuge, pareja de hecho y familiares consanguinidad o afinidad hasta 2º grado que se incorporen como nuevas altas en el Régimen Especial de la S.S. de los Trabajadores por Cuenta Propia o Autónomos		Bonificación del 50% de la cuota que resulte sobre la base mínima. (DA 11ª LEY 3/2012)			18 meses	
COLECTIVOS DISCAPACITADOS	INDEFINIDOS	Personas discapacitadas (Ley 43/2006). Contratación indefinida		4.500		Mujeres con discapacidad 5.700	Mayores de 45 con una discapacidad 5.700	Toda la vigencia
			En general					
			En caso de discapacidad severa					
		Personas discapacitadas (Real Decreto 1451/1983). Contratación indefinida		Subvención de 3.000€ por cada contrato celebrado				
				Mayores de 45 años		Menores de 45 años		Toda la vigencia
				90% cuota empresa		75% cuota empresa		Toda la vigencia
Personas discapacitadas. (Real Decreto Ley 5/2006). Contratación indefinida		En general		3.000		Toda la vigencia		

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DISCAPACITADOS	TRANSFORMACIONES			Especiales dificultades de acceso al mercado de trabajo		3.200		Toda la vigencia		
		Transformaciones en indefinidos (Real Decreto Ley 5/2006)		En general		3.000		Toda la vigencia		
				Especiales dificultades de acceso al mercado de trabajo		3.200		Toda la vigencia		
		Transformaciones en indefinidos (Ley 10/1994)		Subvención de 3.000 € por cada contrato celebrado						
				Mayores de 45 años		Menores de 45 años		Toda la vigencia		
	90% cuota empresa			75% cuota empresa		Toda la vigencia				
	TEMPORALES	Personas con discapacidad contratadas mediante contrato temporal de fomento del empleo Bonificaciones en supuestos especiales de contratación temporal (Ley 3/2012)		Varones Menores de 45	Varones Mayores de 45	Mujeres Menores de 45	Mujeres Mayores de 45			
			En general		3.500	4.100	4.100	4.100	Durante toda la vigencia del contrato	
			En casos de incapacidad severa		4.100	4.700	4.700	4.700	Durante toda la vigencia del contrato	
		Contratos temporales (Real Decreto Ley 5/2006)		2.200				Toda la vigencia		
	OTROS	Asistencia a trabajadores discapacitados para establecerse como autónomos		Bonificación del 50% de la base mínima de cotización (DA 11ª L 45/2002)				Durante 5 años		
		Contratos de interinidad con personas minusválidas desempleadas, para sustituir a trabajadores/as minusválidas por incapacidad temporal (Ley 45/2002)		Bonificación 100%						
		Discapacitados en centros especiales de empleo (Ley 43/2006)	Contrato indefinido o temporal y conversión de contratos temporales en indefinidos, incluidos contratos formativos	100% de la cotización empresarial a la Seguridad Social, incluida accidentes de Trabajo y enfermedades profesionales y las cuotas de recaudación conjunta				Durante toda la vigencia del contrato		
		Trabajadores con discapacidad que presentes especiales dificultades de acceso al empleo (Real Decreto 290/2004)		Subvención de 7.814 euros por cada contrato celebrado a jornada completa o parte proporcional en contratos a tiempo parcial						
				Subvención para la adaptación del puesto de trabajo						
				100% cuota Seguridad Social				Durante toda la vigencia del contrato		
VIOLENCIA DE GÉNERO	Contratación indefinida víctimas violencia de género Nuevos contratos u transformaciones (Ley 43/2006)		1.500				4 años			
	Contratación indefinida de víctimas de violencia doméstica (Real Decreto Ley 5/2006)		850				4 años			
	Contratación temporal víctimas de violencia de género o doméstica		600				Durante toda la vigencia del contrato			
	Por contratos de interinidad para sustituir a trabajadoras víctimas de violencia de género durante todo el periodo de suspensión o 6 meses Por movilidad geográfica o cambio de centro de trabajo. Se les suspenderá la obligación de cotización durante 6 meses a las trabajadoras por cuenta propia víctimas de violencia de género. (L.O. 1/2004)		Bonificación 100%							

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EXCLUSIÓN SOCIAL	Contratación indefinida de personas en situación de exclusión social Nuevos contratos y transformaciones (Ley 43/2006)	600		4 años
	Contratación temporal de personas en situación de exclusión social	500		Durante toda la vigencia del contrato
	Empresa de inserción social que contraten personas en riesgo de exclusión (Ley 44/2007)	Contratos duración determinada	850	Toda la vigencia del contrato
		Contratos indefinidos	850	3 años
VÍCTIMAS DEL TERRORISMO	Contratación indefinida víctimas del terrorismo	1.500		4 años
	Nuevos contratos y transformaciones (Ley 43/2006)	600		Durante toda la vigencia del contrato
EMBARAZO/ADOPCIÓN LACTANCIA	Contratos de interinidad con desempleados: -Para sustituir a trabajadoras riesgo en el embarazo o riesgo durante la lactancia Natural. -Para sustituir a trabajadores y trabajadoras por descanso por maternidad, adopción y acogimiento preadoptivo o permanente - los que sustituyan a trabajadores autónomos, socios trabajadores o socios de trabajo de las sociedades cooperativas en supuestos de riesgo durante el embarazo o lactancia natural, -Periodos de descanso por maternidad, adopción y acogimiento o suspensión por paternidad (Real Decreto Ley 11/98)	Bonificación 100%		Durante la vigencia del contrato
	Trabajadores o socios trabajadores o socios de trabajo de sociedades cooperativas, o trabajadores por cuenta propia o autónomos, sustituidos durante los periodos de descanso por maternidad, adopción, acogimiento, paternidad, riesgo durante el embarazo o riesgo durante la lactancia natural mediante contratos de interinidad bonificados (Ley 12/2001)	Bonificación 100%		Durante la sustitución
	Por la contratación de cuidadores en familias numerosas	Bonificación del 45% de cuotas (Ley 40/2003)		
	Mantenimiento contratación trabajadores >65 años (Ley 27/2011) E.coli y ONCE Real Decreto Ley 18/2011	Bonificación 100% de cuotas empresariales		
OTROS	Actividad laboral en instituciones penitenciarias	Deducción 65% desempleo, FP y FOGASA (DA 30ª LGSS)		
	Ceuta y Melilla	50% contingencias comunes, desempleo, FP y FOGASA (DA 30ª LGSS)		
	Trabajadores agrarios (Ley 36/2014)	50% contingencias comunes, desempleo, FP y FOGASA (DA 30ª LGSS)		
	Fomento del Empleo Joven (RDL 4/2013 y ley 11/2013)	Se abona en un único pago hasta un máximo del 60% del total de la prestación (100% si hombre <30 años o mujer <35 años) (Ley 3/2012)(Ley 3/2012)		
	Capitalización de la prestación contributiva por desempleo para instalarse como autónomo o incorporarse a una cooperativa	Se abona en un único pago hasta un máximo del 60% del total de la prestación (100% si hombre <30 años o mujer <35 años) (Ley 3/2012)(Ley 3/2012)		

8.2 *Calculation of benefit amount*

For information on the basic features of each incentive, see table in 8.1.

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

For information on the basic features of each incentive, see table in 8.1.

8.5 *Treatment of particular group*

The incentives currently in place for each group are summarised in the table in 8.1.

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

For information on the basic features of each incentive, see table in 8.1.

9. Lone-parent benefits

One-off lump-sum economic benefit for birth or adoption in lone-parent families (see point 6. Benefit B).

9.1 Conditions for receipt

-For children who has been born or adopted from November 16th 2007.

-Not to receive yearly income over EUR 11.576,83.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

-One off payment of EUR 1000.

-The receipt of the total benefit, provided it does not exceed the upper limit laid down of 11.576,83 Euros/year, increased by 15 per cent, namely 1.736,52 Euros/year, for each child after the second one. For large families, the limit will be 17.423,84 Euros/year when there are 3 dependent children, increasing by 2.822,18 Euros for each dependent child after and including the fourth child.

The benefit will be reduced if the income is above that specified in the previous item but at the same time below the amount found adding to this figure the amount of the subsidy for the number of children who are not disabled(maximum limit).

In any case, in order to have the right, the difference between two items must be equal or superior to EUR 24,25 per child/year.

9.2.1.1 Irregular additional payments

None

In cases where the absent parent does not pay any child support/alimony. The amount of the child support/alimony is established by judicial procedure, in case of not receive this payment, the lone parent has to initiate judicial proceedings. This situation is taken into account to these benefits.

9.2.2 Income and earnings disregards

None

9.3 Tax treatment of benefit and interaction with other benefits

Not taxable

9.4 Benefit duration

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9.5 *Treatment of particular group*

None

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable, including disabled*

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Basic reliefs: Married couples filing jointly may claim an allowance of EUR 3 400. This figure amounts to EUR 2 150 for heads of households.

Maternity tax credit: a non-wastable tax credit addressed to working females with children under 3 years of age up to EUR 1 200.

Large families (3 or more children) or dependent family members with disabilities tax credits: this additional non-wastable tax credit (up to EUR 1 200) also may be claimed (within the Taxing Wages framework) by single-parent households with two children .

Relief for social security contributions: All social security payments are fully deductible.

Other expenses allowance: up to EUR 2 000, which may be increased by the same amount in case of accepting a job in a different location implying a change of residence.

Employment related allowance: Net employment income (gross income - employee social security contributions) may be reduced according to the following rules:

- Taxpayers with net employment income equal or less than EUR 11 250: EUR 3 700.
- Taxpayers with a net employment income between EUR 11 250.01 and EUR 14 450: EUR 3 700 less the result of multiplying by 1.15625 the difference between net employment income and EUR 11 250.

Disabled workers allowance: an allowance of EUR 3 264 for disabled salary earners. Those with reduced mobility may claim an augmented allowance of EUR 7 242.

As a result of the application of the above rules, net income cannot become negative.

10.1.1.2 Exempt Income

- The base amount is EUR 5 550 per taxpayer. The same amount is granted for family units filing jointly. Taxpayers aged over 65 years may add EUR 1 250 to the former amount. Those aged over 75 years may claim additionally EUR 1 400.
- Dependent children (under 25 years): EUR 2 400 for the first dependent child; EUR 2 700 for the second one; EUR 4 000 for the third, and EUR 4 500 for any additional child.
- Child care allowance: an additional allowance of EUR 2 800 for each of the above dependent children under 3 years of age.

In case of disabled workers and additional amount of EUR 3 000 also applies. In case of great disability prior amount reaches EUR 9 000

Child allowances have to be shared equally between spouses when they file separately.

10.1.2 Income tax schedule (central government income tax)

General rates of tax – resident individuals:

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Taxable income (EUR)	Tax at the lower limit (EUR)	Tax rate on taxable income in excess of the lower limit (%)
0–12 450	0	9.50
12 450–20 200	1 182.75	12.00
20 200–34 000	2 112.75	15.00
34 000–60 000	4 182.75	18.50
Over 60 000	8 992.75	22.50

10.1.3 State and local income taxes

Regional rates of tax – resident individuals:

Taxable income (EUR)	Tax at the lower limit (EUR)	Tax rate on taxable income in excess of the lower limit (%)
0–12 450	0	10.00
12 450–20 200	1 245.00	12.50
20 200–34 000	2 213.75	15.50
34 000–60 000	4 352.75	19.50
Over 60 000	9 422.75	23.50

10.2 Treatment of family income

As a general rule, the tax unit is the individual. Nevertheless, families have the options of being taxed:

- As married couples filing jointly on the combined income of both spouses and dependants.
- As heads of households (only unmarried or separated individuals with dependents).

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

Social Security contributions are assessed on the basis of employees' gross earnings taking into account certain ceilings of gross employment income. In 2015 these ceilings are:

- Lower ceiling: EUR 9.079,20
- Upper Ceiling: EUR 43.272,00

These ceilings are based on a full-time job. For part-time workers, ceilings are proportional to the real hours worked (the tax equations used for this Report do not take into account the lower ceiling).

- 4,7 per cent for pensions/sickness and invalidity.
- 1,55 per cent for unemployment (general rate)
- 0,1 per cent for training.

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For a person on unemployment insurance, the total social security contributions amount of 4.7 per cent of reference earnings, with the same lower and upper ceilings. The rest of social security contributions for pensions and sickness (up to 28.3 per cent of reference earnings) are paid by the Public Service of Public Employment (Servicio Público de Empleo Estatal). This public body also pays contributions for individuals on unemployment assistance. Contributions are neither payable over family benefits, nor over social assistance.

10.3.2 Contributions payable by employers

- | | |
|---|---------------|
| • Old age pension/sickness and disability | 23,6 per cent |
| • Unemployment (general rate) | 5,50 per cent |
| • Wages fund | 0,2 per cent |
| • Professional Training | 0,6 per cent |

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

11. Part-time work

11.1 Special benefit rules for part-time work

Workers which provide services during a number of hours per day, per month or per year less than the working day of a full-time worker or, in absence of this, less than the maximum legal working day in permanent and temporary contracts.

11.2 Special tax and social security contribution rules for part-time work

In general, the monthly contribution base to Social Security is the effective payment received in accordance with the hours worked.

Specifically, the bonuses awarded of the Programme for the Promotion of employment (see 8.1) can be applied with the following rate:

- 100% If the working day is $\geq \frac{3}{4}$ of the full-time working day.
- 75% If the working day is $\geq \frac{1}{2}$ of the full-time working day.
- 50% If the working day is $\geq \frac{1}{4}$ of the full-time working day.
- 25% If the working day is $< \frac{1}{4}$ of the full-time working day.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2014 – 1st July 2015

The 2015- Spain National Reform Programme constitutes the frame of reference of the economic policy and employment by 2015 -.

In the field of employment, it's approved the Annual Employment Policy Plan 2015 (PAPE) in July, along with the Spanish Strategy for Employment Activation 2014-2016. The PAPE is based on the programming, evaluation and financing of active employment policies oriented towards the achievement of objectives, guidelines and priorities for action during 2015. The PAPE 2015 marks five strategic objectives: youth employment; employability of groups with special difficulties, especially over 45 years; vocational training for employment; closer links between active and passive policies and to support the entrepreneurship.

The main measures of employment policy developed during 2014/2015 have focused on three main areas: general incentives for permanent contracts and self-employment, policies aimed at specific groups of workers with particular difficulty in the context of the development of the Youth Guarantee Plan and finally, improving support services to long-term unemployed, as developed below.

Incentives

A reduction in Social Security contributions was introduced^[1] for new, indefinite contracts formalised between 25 February and 31 December 2014. This reduction is applied during the first 24 months of duration of the indefinite contract. The incentive served both to mitigate the labour market duality and to spur the rapid creation of jobs.

The measure was implemented through a fixed monthly contribution of €100 for any kind of full-time indefinite contract (or €50 or €75 for part-time indefinite contracts, based on the hours worked). This "flat rate" replaced contributions for the largest item that companies must face: the common contingencies contribution, which is equivalent to 23.6% of a worker's wage.

In March 2015, the Government introduced^[2] a new scheme of reduced employers' contributions to the Social Security, which replaced the flat rate scheme. Under this new scheme, the first 500 EUR of the salary of a new permanent job are exempt from social security contributions during up to three years under certain conditions. This scheme has a greater focus on lower incomes, and therefore could benefit the young and low skilled proportionally more than the previous one. Between March and September 2015, about 96,000 new permanent contracts have been signed under this modality.

In July 2015 other additional employment incentives have been introduced^[3]. They include new employment incentives in the form of rebates in the social security contributions of the self-employed, extending benefits previously restricted to young people to all unemployed. Other employment incentives have been introduced for the self-employed and some specific vulnerable groups. See table in 8.1 for a summary of currently applicable incentives affecting Social Security contributions.

^[1] Real Decreto-ley 3/2014, de 28 de febrero, de medidas urgentes para el fomento del empleo y la contratación indefinida.

^[2] Real Decreto-ley 1/2015, de 27 de febrero, de mecanismo de segunda oportunidad, reducción de carga financiera y otras medidas de orden social.

^[3] Ley 25/2015, de 28 de julio, de mecanismo de segunda oportunidad, reducción de la carga financiera y otras medidas de orden social.

A. Policy measures targeting labour market disadvantage

In accordance to the Implementation Plan of the Youth Guarantee, presented in December 2013, which set out the roadmap for the Youth Guarantee system, the information system, administrative application procedure and profiling tools as well as the information sharing agreements and the single database that the Youth Guarantee requires were adopted by July 2014^[4]. Personalized systems were launched (IT instruments, databases, etc.) to advise, inform and guide young people about job and training offers, coordinating the action of the different levels of public administration. The Youth guarantee aims at ensuring that all young people below 25 to be offered a quality employment offer, training or apprenticeship, within four months of becoming unemployed or finishing their formal education. Those registered in the YG system are eligible for enhanced incentives in the form of rebates in Social Security contributions.

In December 2014, within the framework of the social partners Agreement signed on 29 July 2014, a new activation Programme was introduced^[5]. The Employment Activation Programme was adopted to promote reintegration in the labour market and to sustain household income of long-term unemployed persons with dependants, as long as they take part in active labour market schemes and job search activities. It is aimed to unemployed with family responsibilities who have exhausted their benefit, in order to insert them in work through an intensive and personalized itinerary, complemented by the perception during six months of an economic benefit equivalent to the 80% of IPREM. It will be in force until April 2016.

To the end of January, 90,000 beneficiaries benefit from a personalised tutor in the PES and the economic help conditional on accredited active job search.

This is in addition to the automatic extension of the Prepara Plan until the unemployment rate descends under 20%^[6]. The Prepara Plan offers monetary aid for the unemployed who no longer have the right to obtain unemployment benefits. It is restricted to certain collectives with special difficulties and is associated with the compliance of active labour market programs.

Finally, the Spanish Strategy for Employment Activation 2014-2016 recognizes as one of its strategic objectives fostering the employability of those especially affected by unemployment, such as people over 55 and the long-term unemployed, is another of its strategic objectives^[7].

12.2 Future policy changes announced in 2015

Program to Improve Public Employment Services Assistance for Long Term Unemployed

The Program will support the Public Employment Services in providing better quality, personalised assistance to long term unemployed, with a particular focus on those between 30 and 55 years.

The Program will develop joint action by the national Public Employment Service (SEPE) and the regional PES. It will promote the improvement of PES capacities through training, adaptation of information

^[4] Real Decreto-ley 8/2014, de 4 de julio, de aprobación de medidas urgentes para el crecimiento, la competitividad y la eficiencia.

^[5] Real Decreto-ley 16/2014, de 19 de diciembre, por el que se regula el Programa de Activación para el Empleo.

^[6] Real Decreto-ley 23/2012, de 24 de agosto, por el que se prorroga el programa de recualificación profesional de las personas que agoten su protección por desempleo.

^[7] Real Decreto 751/2014, de 5 de septiembre, por el que se aprueba la Estrategia Española de Activación para el Empleo 2014-2016.

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systems, systematic evaluation and piloting. Besides, it will provide additional resources to improve the quality of assistance to long term unemployment. It will build on the experience of the Program for Employment Activation to make a distribution of funds to the regions conditional on their results when assisting the long term unemployed.

The collective aimed by the Program is insufficiently addressed by the existing tools of social protection, since they are no eligible for the Youth Guarantee and cannot be beneficiaries of the subsidy for workers older than 55 in case of being unable to find a job.

It has been approved, also in March 2015, the reform of vocational training for employment system, in order to adapt it to the production model, based on the anticipation of training needs and planning training activities, in collaboration with all stakeholders involved in the process.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.